Press Release: January 20, 2023

## SCBX ANNOUNCED 2022 NET PROFIT OF BAHT 37.5 BILLION

**Bangkok**: SCB X Public Company Limited (SCBX) reported consolidated net profit of Baht 37.5 billion in 2022, a 5.5% increase yoy, mainly due to strong net interest income growth, cost management discipline, and lower provisions. Nevertheless, it was offset by a decline in the fee and investment-related income.

For 2022, net interest income rose 13.3% yoy to Baht 107.9 billion, following an increase in net interest margin under the growth strategy towards quality loans and upward interest rate trend. Meanwhile, overall loans expanded 3.3% from the previous year.

Fee and other income stood at Baht 44.9 billion, down 4.7% yoy due to the slowdown in wealth management business. Investment and trading income also dropped 79.1% yoy to Baht 1.7 billion due to extreme volatility in the money and capital markets.

Operating expenses increased 9.9% yoy to Baht 69.9 billion, mainly on the back of increasing business activities and restructuring efforts under the 'Mothership' strategy. However, the cost-to-income ratio remained at an appropriate level of 45.2%, a slight increase from the previous year.

The Company set aside provisions of Baht 33.8 billion for 2022, down 19.5% yoy, thanks to proactive measures and prudent approach to credit quality management implemented since the onset of the COVID-19 pandemic as well as the recovery in business sectors. The non-performing loan (NPL) coverage ratio increased to 159.7%.

The NPL ratio eased to 3.34% at the end of 2022, from 3.79% at the end of 2021, largely due to a comprehensive debt restructuring program under the Bank of Thailand's framework and effective NPL management. The capital adequacy ratio also remained strong at 18.9%.

**Arthid Nanthawithaya, Chief Executive Officer of SCBX**, commented:

"In 2022, SCBX completed the restructuring efforts under the 'Mothership' strategy and we're ready to move towards our goal to become a technology company with steady growth. In the next 1-2 years, we will emphasize leapfrogging of digital-lending businesses, following preparations of talents and business strategies. For SCB Bank, we will continue to proceed with the 'Be a Better Bank' strategy, to achieve quality growth at a lower cost base. Our technology and digital asset businesses will adopt a prudent investment approach, taking into consideration market conditions. Regarding financial performance in 2022, SCBX continued its growth momentum and maintained financial stability by adopting appropriate risk management under extreme volatility in the capital market. Looking forward, we believe SCBX and its portfolio companies can enjoy significant growth potential thanks to the 'Mothership' strategy and overall business recovery."

## SCBX – Financial Highlight

(Consolidated)

| Unit: Baht million | 2022 | 2021 | % yoy | 4Q22 | % qoq | % yoy |
|---|---|---|---|---|---|---|
| **Income** | **154,420** | **150,342** | 2.7% | **38,258** | -3.8% | -2.4% |
| NII | 107,865 | 95,171 | 13.3% | 29,340 | 5.9% | 18.4% |
| Fee and others | 44,866 | 47,101 | -4.7% | 10,485 | -10.8% | -15.9% |
| Investment and trading income | 1,689 | 8,070 | -79.1% | -1,567 | NM | NM |
| **Operating Expenses** | **69,874** | **63,556** | 9.9% | **20,854** | 23.1% | 20.8% |
| **Pre-Provision Operating Profit** | **84,547** | **86,786** | -2.6% | **17,403** | -23.7% | -20.7% |
| Expected credit loss | 33,829 | 42,024 | -19.5% | 7,079 | -8.7% | -40.8% |
| **Net Profit** | **37,546** | **35,590** | 5.5% | **7,143** | -30.7% | -9.3% |
| Loans | 2,377,214 | 2,301,835 | 3.3% | 2,377,214 | 1.3% | 3.3% |
| Total Assets | 3,454,452 | 3,314,565 | 4.2% | 3,454,452 | 0.4% | 4.2% |
| Deposits | 2,555,800 | 2,467,495 | 3.6% | 2,555,800 | 0.9% | 3.6% |
| ROE | 8.3% | 8.4% | -0.1% | 6.2% | -2.9% | -1.1% |
| ROA | 1.1% | 1.1% | 0.0% | 0.8% | -0.4% | -0.2% |
| NIM on Earning Assets | 3.29% | 3.00% | 0.29% | 3.54% | 0.16% | 0.42% |
| Cost to Income Ratio | 45.2% | 42.3% | 2.9% | 54.5% | 11.9% | 10.5% |
| Loan to Deposit Ratio | 93.0% | 93.3% | -0.3% | 93.0% | 0.3% | -0.3% |
| NPL% | 3.34% | 3.79% | -0.45% | 3.34% | 0.00% | -0.45% |
| NPLs | 95,329 | 109,114 | -12.6% | 95,329 | 3.5% | -12.6% |
| Coverage Ratio (Total Allowance to NPLs) | 159.7% | 139.4% | 20.3% | 159.7% | -4.1% | 20.3% |
| CAR | 18.9% | 18.7% | 0.2% | 18.9% | 0.4% | 0.2% |
| Regulatory Capital | 434,907 | 424,235 | 2.5% | 434,907 | 0.6% | 2.5% |

## Management Discussion and Analysis

For the fourth quarter and the year ended December 31, 2022

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2022 marked another key milestone for SCBX. The group has completed the restructuring process under the fintech mothership strategy as SCBX PCL was listed on the Stock Exchange of Thailand on April 22, 2022 and major business and asset transfer transactions had been executed by the end of 2022. SCBX recorded full year net profit of Baht 37.5 billion, representing an increase of 5.5% yoy, following a robust NII growth and lower provisions which more than offset weak investment income and higher operating expenses. Asset quality remained under control with an improvement in NPLs and the NPL coverage ratio. Profit contribution was almost all from banking business for the year 2022 while we continued to build foundations to grow business under Gen 2 and Gen 3. The outlook for 2023 should be supported by continued economic recovery and improved capital market condition. We expect solid banking performance to continue and Gen 2 business performance to accelerate, while prudently looking for new investment opportunities.

**On a journey to become a tech company**

The quest to be a tech company with a vision to become "The Most Admired Regional Financial Technology Group" began with the completion of tender offer with a 99.06% acceptance rate, followed by an approval of one-time dividend to SCBX in the amount of Baht 61 billion to facilitate and fund related business transfers to complete the restructuring process.

In September 2022, SCBX used part of the proceeds to acquire shares of subsidiaries from the Bank and SCB 10X Company Limited and invest in SCBX's subsidiaries. The credit card and personal loan business was transferred to CardX in early December 2022. In 2022, several of our portfolio companies made progress in building growth foundation. AutoX's foray into the auto title loan market under "Chaiyo Money" brand was successful in quickly expanding customer base and the company has extended Baht 7.5 billion worth of loans at the end of December 2022, after the launch in 3Q22. Meanwhile, InnovestX unveiled the first investment super app in Thailand that combines trading of traditional and digital securities into a unified platform. Moreover, InnovestX Securities collaborates with Goldman Sachs in developing investment products for Thailand market, broadening Thai investor's access to a vast array of investment solutions. Robinhood platform has secured a ride-hailing service license and fully

transformed into a super app with the inclusion of online travel agent service, mart service, and express service.

In 2022, SCBX Group made several offshore strategic investments. The first was a USD 50 million indirect strategic investment in Bank Jasa Jakarta (an Indonesian commercial bank) with plans to re-platform into a digital bank backed by Welab and Astra Group. This investment is a strategic move to set a strong footprint in digital banking regionally. Initially, it will capture the growth opportunities in the digital banking business in Indonesia. The second was a USD 100 million strategic investment in AKULAKU, Indonesian leading digital consumer finance platform. This investment fits within our regional goal of serving an underserved market using digital financial solutions. The third was a USD 10 million investment in RakkaR Digital, an institutional-grade digital asset custody platform for institutions, was made through SCB 10X. RakkaR Digital will help provide digital asset custody and related services to clients across ASEAN. Also, we have made a USD 180 million investment in FWD, a leading Pan-Asian life insurer with a customer-led, legacy-light and digital-first model, in 2021 as FWD is a fast growing life insurer with a strong focus in Southeast Asia and a key strategic partner of SCBX.

The Company has set a bold vision to be 'the most admired regional financial technology group" but will prudently execute the plan to realize our vision in 3 phases. In Phase 1, we will transform ourselves into a Tech Group, the process that needs core tech and data capabilities to enable and accelerate the companies in our portfolio. In Phase 2, or over the next 2-3 years, we expect our digital lending businesses to show fast earnings growth and support the Group's steady earnings growth profile. In Phase 3, or in the next 3-5 years, the focus is placed on monetization and value realization of our Gen 3 businesses.

For more information on SCBX strategy, please visit www.scbx.com/en/investor-relations/scbx-strategy-day-2022.html and QR code.

**2022 Operating performance**

SCBX reported full-year net profit of Baht 37.5 billion, up 5.5% from the previous year, thanks to higher net interest income (NII) from loan growth and upward interest rate trend and lower expected credit losses. Nevertheless, SCBX reported higher operating expenses due to increased business activities and the Group restructuring cost. Cost-to-income ratio rose marginally to 45.2%. Fee-based income declined in the year as fees from wealth management products dropped along with investment and trading income.

SCBX Group's loan growth in 2022 was 3.3% yoy. The growth was driven mainly by SCB Bank's housing loans and loans provided by digital lending portfolio companies. Asset quality was well under control, with NPL ratio at 3.34% with strong improvement in coverage ratio. Expected credit losses declined yoy to Baht 33,829 million or 145 bps of total loans following prudent measures in the previous years coupled with the Bank's proactive debt restructuring under Bank of Thailand's blue scheme.

At the end of 2022, the number of digital users grew 25% yoy to 25 million. Digital loans expanded briskly at a rate of 73% yoy to Baht 65 billion. As a result, digital revenue almost doubled yoy and contributed 5% of total income in 2022.

(Note: Financial information presented for prior periods is retrospectively adjusted to furnish comparative information following the Financial Group restructuring whereby separate entities were created under common control.)

**2023 Outlook and guidance**

The COVID-19 pandemic took toll on the Thai economy, the tourism sector in particular, in the past few years. As Thailand fully reopened in 3Q22, our EIC forecasts GDP growth for 2023 at 3.4%, up from 3.2% in 2022, driven by a solid rebound in tourism. EIC anticipates the return of 28.3 million tourist arrivals in 2023.

In light of economic recovery, SCBX (consolidated level) plans to grow overall loan book by approximately 5-8% while maintaining its focus on quality growth within an acceptable risk/return level. Loan growth from Gen 1 (Banking service) is around 5% while loan growth from Gen 2 companies (Digital Lending) should be above 40%. As interest rates tend to rise further (EIC expects BOT to raise the policy rate by another 75 bps in 2023 after 75 bps increase in 2022) coupled with the asset optimization plan, we expect NIM to expand above 3.5%, with NIM for Gen 1 at around 3.0% and NIM for Gen 2 in the mid teens.

Total revenue is expected to grow more than 10%, to be contributed mainly by NII from upward interest rate and greater contribution from Gen 2 businesses as well as investment income bancassurance, wealth and transactional activities will also play a key role in driving fee income in light of economic recovery. Meanwhile, investment income is expected to grow but remains subject to capital market factors. Regarding the Company's subsidiaries that are in their early stage, cost discipline will continue to be a key focus in 2023. The Company expects the cost-to-income ratio (C/I ratio) in the mid-40s: around 40% for Gen 1 and High 40s for Gen 2.

Following the Bank's proactive measures and prudent risk management framework, the Company anticipates the normalization in its credit cost to a 120-140 bps range. This guidance provided by the Company is subject changes due to economic uncertainties and unforeseen events in the future.

Moreover, SCBX Group plans to increase customer base to 35 million which was from Gen 1 around 18 million, Gen 2 around 13 million and Gen 3 around 4 million.

**Action plan and targets for 2023**

**SCB Bank**

As part of the 2025 aspiration to be **No.1 digital bank in wealth management, offering seamless experiences across all channels to customers**, Gen 1 's action plans for 2023 are as follows:

- **Digitalize end-to-end process** to level up the company's efficiency and stability. In doing so, the company's strategy is to create digital products and services, while enhancing seamless

interactions across critical touchpoints both digitally and physically. In addition, infrastructures are to be modernized to improve resiliency and scalability.

- **Strengthen wealth management** to provide end-to-end wealth management solutions. The strategies can be divided into three aspects. First, holistic wealth solution is tailored to fit customers' needs both on personal wealth and business. Next, advice service quality is to be improved by upskilling relationship managers and enhancing digitalized advisory tools. Lastly, wide range of partners would be supportive for the company to provide comprehensive wealth management services.
- **Loan and risk adjusted return optimization** to balance portfolio and focus on good quality segment of customers are the company's strategy to improve asset quality amid rising interest rates and high economic uncertainties.

**Gen 1's segment business strategy riding on tourism upside**

With tourism recovery in Thailand, the group has developed strategies for each business segment to ride on tourism upside opportunities which are summarized as follows:

- **Wholesale and SME segment** aim to encourage customers who have excess cash to repay debt early corresponding to the recovery in hotel and tourism-related business. In addition, with increase in financial support needs for business operation, renovation, or expansion from the customers, the group will continue to support working capital and new investment for high quality customers.
- **Retail segment**'s strategy to cope with increasing payment transactions from inbound tourists is to build payment solutions and promote usage of Cross-border QR Payment for inbound tourists. Furthermore, the group also enhances Cross-border QR Payment features in corresponding to increasing international spendings from outbound tourists.
- **Insurance segment's** strategy on the back of surging in outbound tourism is to increase travel insurance sales on digital platform. In addition, while growing health concerns and rising uncertainties boost demand for insurance, the bank would launch new product bundled saving with health protecting and create proactive strategy to sell health insurance products. The group also approaches business owners in tourism supply chain on group insurance for their employees given that improving economic situation raises their ability to pay and reduces business concerns over long term commitment to pay insurance premium

**CardX**

Business transfer from SCB Bank was completed in December 2022 and CardX is now ready to execute business plans designed to make lending simple and accessible for everyone with pioneering AI technology. In 2023, we aim to ensure best and seamless experience for customer migration post business transfer. Risk management capabilities will also be elevated with dedicated focus and dynamic operating model. In addition, we will implement new collection operating model to maximize prevention and recovery and at the same time deploy AI/ML technology across end-to-end journey from acquisition

and underwriting to collection and cost optimization. Lastly, we plan to launch Buy-Now-Pay-Later (BNPL) with JV by the middle of this year. We are on track to deliver our three-year business aspiration of becoming a top 3 unsecured consumer finance player in Thailand in terms of brand strength and profitability. CardX targets to achieve 3.8 million customers (from 3.2 million customers) with loan growth target of around 15% in 2023.

**InnovestX**

InnovestX announced a major rebranding together with the launch of Thailand's first all-asset-class investment platform in October 2022. The company is gearing toward becoming a leading digital investment platform operator in ASEAN by equipping new technology to be able to respond to variety needs of customers. Action plans in 2023 of the company are to digitize traditional business to lower cost and improve customer experience, expanding customer base, and strengthening customer engagement through differentiated investment super app offerings. Additionally, one of the major tasks of InnovestX is to scale up digital asset business for the SCBX Group and accelerate Thailand's capital market evolution and pave way for regional financial service disruptions through blockchain and digital asset services such as tokenization. This will be executed with thorough consideration amid financial market turbulences and regulatory uncertainties. For 2023, InnovestX targets to have more than 1 million registered users and around Baht 4-5 billion revenue.

**Purple Ventures**

Purple Ventures operates Thailand's Robinhood App which has evolved beyond being just a food-delivery app towards becoming Thailand's most admired SuperApp. The company has already added additional services to the App including OTA and mart & express. For 2023, the company plans to launch new important lifestyle services including ride-hailing, electronic vehicle (EV) subscription, as well as financial products (digital lending and insurance). The company continues to focus on both expanding customer base and monetizing the businesses. Expansion of customer base will be driven by new product expansion while business monetization will be driven by ride-hailing, digital advertisement, subsidy reduction in food-delivery business, and revenue generation from OTA business. For 2023, the company targets to achieve 4.5 million registered users and Baht 11 billion GMV (+40% yoy).

**AutoX**

AutoX launched the auto title loan business under brand "Ngern Chaiyo" in July 2022. The outstanding loans have reached Baht 7.5 billion with 1,200 branches nationwide. In 2023, AutoX will continue to focus on the expansion of branches and products. The company plans to have 2,000 branches by the end of this year and lending products will better serve customers with a variety of collateral types as well as non-life insurance. The growth will be supported by productivity enhancement driven by strong salesforce and intelligence system. Besides the focus on growth, AutoX will ensure asset quality with target NPL of less than 2% through in-house Collection model initiatives and nationwide outsource agencies together with World-Class Collection system.

### Table 1 2023 targets by Gen

| 2023 Targets | SCBX (Consolidated) | Gen 1 Banking Services | Gen 2 Consumer & Digital Financial Services | Gen 3 Platforms & Digital Assets |
|---|---|---|---|---|
| Loan Growth | 5-8% | < 5% | > 40% | - |
| Net Interest Margin (NIM) | > 3.5% | ~ 3% | Mid teens | - |
| Income Growth | > 10% | - | - | - |
| Cost to Income Ratio | Mid 40s | ~ 40% | High 40s | - |
| Credit cost (bps) | 120-140bps | ~ 100bps | 600-650bps | - |
| No. of Customer (million) | 35 million | 18 million | 13 million | 4 million |

## SCBX Performance in 4Q22 and 2022 (consolidated)

SCBX reported (unaudited) consolidated **net profit** of Baht 37,546 million for 2022, a 5.5% yoy increase from Baht 35,590 million in 2021. The increase was mainly from a robust growth of net interest income (NII) and lower expected credit loss, which was partly offset by higher operating expenses (OPEX), lower investment and trading income and lower fee and others.

**In the fourth quarter**, net profit decreased 9.3% yoy to Baht 7,143 million in 4Q22 largely due to lower investment and trading income, higher OPEX and lower fee and others which were partly offset by high NII and lower expected credit loss.

On a **quarter-on-quarter** basis, net profit decreased 30.7% largely from higher OPEX, lower investment and trading income and lower fee and others which were partly offset by higher NII.

### Table 2. Net Profit and Total Comprehensive Income

| Consolidated<br>Unit: Baht million | After restructuring<br>2022 | Before restructuring<br>2021 | % yoy | After restructuring<br>4Q22 | % qoq | % yoy |
|---|---|---|---|---|---|---|
| Net interest income | 107,865 | 95,171 | 13.3% | 29,340 | 5.9% | 18.4% |
| Fee and others | 44,866 | 47,101 | -4.7% | 10,485 | -10.8% | -15.9% |
| Investment and trading income | 1,689 | 8,070 | -79.1% | (1,567) | NM | NM |
| Total operating income | 154,420 | 150,342 | 2.7% | 38,258 | -3.8% | -2.4% |
| Operating expenses | 69,874 | 63,556 | 9.9% | 20,854 | 23.1% | 20.8% |
| **Pre-provision operating profit** | **84,547** | **86,786** | **-2.6%** | **17,403** | **-23.7%** | **-20.7%** |
| Expected credit loss | 33,829 | 42,024 | -19.5% | 7,079 | -8.7% | -40.8% |
| Income tax | 13,592 | 9,376 | 45.0% | 3,331 | -29.4% | 52.1% |
| Non-controlling interests | (421) | (204) | NM | (149) | NM | NM |
| **Net profit** (attributable to shareholders of the Company) | **37,546** | **35,590** | **5.5%** | **7,143** | **-30.7%** | **-9.3%** |
| Other comprehensive income (loss) | 877 | 6,656 | -86.8% | 1,977 | NM | -72.8% |
| **Total comprehensive income** | **38,423** | **42,246** | **-9.0%** | **9,120** | **-9.6%** | **-39.8%** |
| ROAE | 8.3% | 8.4% | | 6.2% | | |
| ROAA | 1.1% | 1.1% | | 0.8% | | |

NM denotes “not meaningful”

## Income statement for the fourth quarter and the year ended December 31, 2022 (Consolidated basis)

### Table 3. Net interest income

| Consolidated<br>Unit: Baht million | After restructuring<br>2022 | Before restructuring<br>2021 | % yoy | After restructuring<br>4Q22 | % qoq | % yoy |
|---|---|---|---|---|---|---|
| **Interest income** | **126,993** | **112,177** | **13.2%** | **34,901** | **7.3%** | **20.1%** |
| Loans | 106,671 | 94,976 | 12.3% | 28,804 | 5.7% | 16.6% |
| Interbank and money market | 3,977 | 2,611 | 52.3% | 1,509 | 63.2% | 108.4% |
| Hire purchase | 11,339 | 12,049 | -5.9% | 2,711 | -3.7% | -11.2% |
| Investments | 4,870 | 2,495 | 95.2% | 1,826 | 24.8% | 216.5% |
| Others | 135 | 45 | 200.6% | 51 | -4.5% | 288.9% |
| **Interest expenses** | **19,127** | **17,006** | **12.5%** | **5,562** | **15.8%** | **30.0%** |
| Deposits | 9,600 | 9,556 | 0.5% | 2,610 | 10.3% | 10.9% |
| Interbank and money market | 1,406 | 816 | 72.3% | 581 | 79.8% | 141.5% |
| Borrowings | 1,859 | 890 | 108.9% | 736 | 40.2% | 231.3% |
| Contribution to the Deposit Protection Agency & FIDF | 6,057 | 5,734 | 5.6% | 1,523 | 0.4% | 4.4% |
| Others | 206 | 10 | 2011.1% | 112 | 56.6% | 4048.0% |
| **Net interest income** | **107,865** | **95,171** | **13.3%** | **29,340** | **5.9%** | **18.4%** |

- **Net interest income** in 2022 increased 13.3% yoy to Baht 107,865, driven by a combination of selective loan growth of 3.3% yoy and NIM expansion of 29 bps.
- **In the fourth quarter**, net interest income increased 18.4% yoy to Baht 29,340 million due to the improvement in NIM by 42 coupled with loan growth of 3.3% yoy.
- On a **quarter-on-quarter** basis, net interest income increased 5.9% due mainly to widened NIM (16 bps) and loan growth of 1.3% qoq.

### Table 4. Yield and cost of funding

| Consolidated<br>Unit: Percentage | After restructuring<br>2022 | Before restructuring<br>2021 | After restructuring<br>4Q22 | <br>3Q22 | <br>2Q22 | Before restructuring<br>1Q22 | <br>4Q21 |
|---|---|---|---|---|---|---|---|
| Net interest margin | 3.29% | 3.00% | 3.54% | 3.38% | 3.17% | 3.04% | 3.12% |
| Yield on earning assets | 3.87% | 3.53% | 4.21% | 3.96% | 3.71% | 3.57% | 3.66% |
| Yield on loans | 5.04% | 4.70% | 5.34% | 5.11% | 4.92% | 4.77% | 4.85% |
| Yield on interbank and money market | 0.70% | 0.45% | 1.22% | 0.71% | 0.53% | 0.51% | 0.52% |
| Yield on investment | 1.31% | 0.79% | 1.60% | 1.42% | 1.02% | 0.76% | 0.71% |
| Cost of funds[1/] | 0.69% | 0.63% | 0.80% | 0.70% | 0.65% | 0.62% | 0.63% |
| Cost of deposits[2/] | 0.62% | 0.62% | 0.65% | 0.61% | 0.61% | 0.61% | 0.63% |

**Note** Profitability ratios use the average of the beginning and ending balances as the denominator.

[1/] Cost of funds = Interest expenses (including contributions to DPA & FIDF) / Average interest-bearing liabilities.

[2/] Cost of deposits includes contributions to the Deposit Protection Agency and FIDF fees.

In 2022, NIM expanded by 29 bps to 3.29% largely due to higher yield on investment (+52 bps), higher loan yields (+34 bps) and higher yield on interbank (+25 bps) despite higher funding cost (+6 bps). The increase in yield was a result of policy rate hikes in 2H22 (3 times) and the Bank's 2 times increase in

benchmark rates, a smaller volume of debt restructuring compared last year as well as pricing discipline on new bookings.

**In the fourth quarter**, NIM increased by 42 bps yoy and 16 bps qoq from higher yield on investment, higher loan yields coupled with higher yield on interbank as mentioned above. For a detailed breakdown of loan yields by segment/product, please refer to Additional Financial Information on page 18.

## Table 5. Fee and others

| Consolidated<br>Unit: Baht million | After restructuring | Before restructuring | | After restructuring | | |
|---|---|---|---|---|---|---|
| | 2022 | 2021 | % yoy | 4Q22 | % qoq | % yoy |
| Transactional banking * | 13,699 | 11,964 | 14.5% | 3,449 | -4.7% | 14.0% |
| Lending related ** | 5,612 | 5,261 | 6.7% | 1,425 | -7.4% | 0.9% |
| Wealth management *** | 7,838 | 10,891 | -28.0% | 1,658 | -17.5% | -36.8% |
| Bancassurance | 15,125 | 15,154 | -0.2% | 3,554 | -10.6% | -4.6% |
| Others | 2,593 | 3,831 | **-32.3%** | 399 | **-34.2%** | -76.3% |
| **Fee and others** | **44,866** | **47,101** | **-4.7%** | **10,485** | **-10.8%** | **-15.9%** |

* Including transactional fees, trades, FX income, and others

** Including loan related fees and credit cards

*** Including income from fund management, securities business, and others

- **Fee and others** decreased 5.6% yoy to Baht 44,467 million in 2022 largely due to a slowdown in the wealth management business under the prevailing investment sentiments, despite a rebound in the transactional banking fees following the country's reopening as well as lower other income from lower gains on the sale of written-off unsecured loans.
- **In the fourth quarter**, fee and others fell 15.9% yoy to Baht 10,485 million largely due to lower fees from wealth management and bancassurance fees as mentioned above.
- On a **quarter-on-quarter** basis, fee and others decreased 10.8% qoq due to lower bancassurance and wealth management fees.

## Table 6. Investment and trading income

| Consolidated<br>Unit: Baht million | After restructuring 2022 | Before restructuring 2021 | % yoy | After restructuring 4Q22 | % qoq | % yoy |
|---|---|---|---|---|---|---|
| Gain (loss) on investment | 1,778 | 7,622 | -76.7% | (1,291) | NM | NM |
| Trading income | (89) | 448 | NM | (276) | NM | NM |
| **Investment and trading income** | **1,689** | **8,070** | **-79.1%** | **(1,567)** | **NM** | **NM** |

NM denotes "not meaningful"

- **Investment and trading income** decreased significantly 79.1% yoy to Baht 1,689 million in 2022 largely due to unrealized losses from the investment portfolio and FX loss from investment revaluation.
- **In the fourth quarter**, the Company recorded investment and trading loss of Baht 1,567 million due to FX loss from investment revaluation.
- On a **quarter-on-quarter** basis, investment and trading income fell qoq due to FX loss from investment revaluation.

## Table 7. Operating expenses

| Consolidated<br>Unit: Baht million | After restructuring<br>2022 | Before restructuring<br>2021 | % yoy | After restructuring<br>4Q22 | % qoq | % yoy |
|---|---|---|---|---|---|---|
| Employee expenses | 31,219 | 30,007 | 4.0% | 8,219 | 1.4% | 5.9% |
| Premises and equipment expenses | 11,511 | 10,849 | 6.1% | 3,309 | 23.0% | 16.3% |
| Taxes and duties | 4,400 | 3,611 | 21.8% | 1,422 | 32.8% | 62.2% |
| Directors' remuneration | 274 | 112 | 145.2% | 75 | -17.3% | 120.2% |
| Other expenses | 22,470 | 18,978 | 18.4% | 7,830 | 57.1% | 36.2% |
| **Total operating expenses** | **69,874** | **63,556** | **9.9%** | **20,854** | **23.1%** | **20.8%** |
| **Cost to income ratio** | **45.2%** | **42.3%** | | **54.5%** | | |

- **Operating expenses** increased 9.90% yoy to Baht 69,874 million in 2022 largely due to higher marketing campaigns and promotion of the portfolio companies, higher set up cost for new portfolio companies and IT-related expenses.
- **In the fourth quarter**, operating expenses increased significantly by 20.8% yoy to Baht 20,854 million largely due to higher 'other' expenses from marketing campaigns and higher set up cost.
- On a **quarter-on-quarter** basis, operating expenses increased significantly by 23.1% qoq largely due to higher other expenses as mentioned above.

For 2022, the cost-to-income ratio was at 45.2% in line with Company's full-year guidance. In 4Q22, cost-to-income ratio rose to 54.5% from 42.6% in 3Q22 and 44.0% in 4Q21 largely due to higher expenses from portfolio companies. The Company cost discipline will continue to be a key focus.

## Table 8. Expected credit loss (ECL)

| Consolidated<br>Unit: Baht million | After restructuring<br>2022 | Before restructuring<br>2021 | % yoy | After restructuring<br>4Q22 | % qoq | % yoy |
|---|---|---|---|---|---|---|
| Expected credit loss | 33,829 | 42,024 | -19.5% | 7,079 | -8.7% | -40.8% |
| Credit cost (bps) | 145 | 184 | | 120 | | |

- In 2022, **expected credit losses** declined to Baht 33,829 million (145 bps of total loans) following higher provisions in the previous years coupled with the Bank's proactive debt restructuring under the blue scheme, resulting in a high coverage ratio of 159.7%. This amount not only reflected the pro-cyclicality of forward-looking Expected Credit Loss (ECL) models as

required by the TFRS 9 framework, but also included management overlay given the current uncertain economic environment.

## Balance sheet as of December 31, 2022 (Consolidated basis)

As of December 31, 2022, the Company's total assets rose 4.2% yoy to Baht 3,454 billion from higher investments and loan growth of 3.3% yoy. Details on the consolidated balance sheet are provided in the following sections:

### Table 9. Loans by segment

| Consolidated<br>Unit: Baht million | After restructuring<br>Dec 31, 22 | Before restructuring<br>Dec 31, 21 | % yoy | After restructuring<br>Sep 30, 22 | % qoq |
|---|---|---|---|---|---|
| Corporate | 857,260 | 828,200 | 3.5% | 848,795 | 1.0% |
| SME | 407,355 | 403,165 | 1.0% | 410,776 | -0.8% |
| Retail | 1,112,599 | 1,070,469 | 3.9% | 1,087,912 | 2.3% |
| Housing loans* | 729,555 | 696,046 | 4.8% | 719,450 | 1.4% |
| Auto loans | 188,765 | 219,261 | -13.9% | 194,784 | -3.1% |
| Unsecured loans | 43,271 | 22,384 | 93.3% | 38,224 | 13.2% |
| Other loans | 14,354 | 8,145 | 76.2% | 11,506 | 24.7% |
| Loans under subsidiaries | 136,654 | 124,633 | 9.6% | 123,948 | 10.3% |
| CardX ** | 114,520 | 117,349 | -2.4% | 108,954 | 5.1% |
| AutoX | 7,495 | - | NM | 2,987 | 150.9% |
| Other subsidiaries | 14,639 | 7,284 | 101.0% | 12,006 | 21.9% |
| **Total loans** | **2,377,214** | **2,301,834** | **3.3%** | **2,347,483** | **1.3%** |

* Including all home mortgage loans, some of which are from segments other than retail.

** Data as of September 2022 and December 2021 were restated to furnish comparative information.

NM denotes "not meaningful"

Total loans increased 3.3% yoy and 1.3% qoq at the end of December 2022. Changes in loan volume by customer segment are as follows:

- **Corporate** loans increased 3.5% yoy and 1.0% qoq due to demand from large corporates with high credit quality.
- **SME** loans grew 1.2% yoy but fell 0.8% qoq. The yoy increase was from targeted lending to existing high-quality small SMEs. The qoq decrease was mainly from loan repayment of both SME and small SME.
- **Retail** loans (including loans under subsidiaries) increased 3.9% yoy and 2.3% qoq. Below are details of changes in loan volume by sub-segment.

- **Housing loans** increased 4.7% yoy and 1.4% qoq given continued demand in high-end housing developments.
- **Auto loans** fell 13.9% yoy and 3.1% qoq largely from loan repayments.
- **Unsecured loans** of the Bank (personal loans and credit card receivables) increased 93.3% yoy and 13.2% qoq reflecting higher economic activities as a result of country re-opening as well as high demand from personal loans.
- **Loans under subsidiaries**, including loans extended by MONIX, SCB Abacus, InnovestX, AutoX and CardX increased significantly by 9.6% yoy and 10.3% qoq to Baht 136,654 million.
    - **AutoX loans** increased 150.9% qoq to Baht 7,495 million, after the launch in 3Q22.
    - After the completion of business transfer in early December 2022, **CardX loans** (personal loans and credit card receivables) stood at Baht 114,520 million at the end of 2022.

### Table 10. Deposits breakdown

| Consolidated<br>Unit: Baht million | After restructuring<br>Dec 31, 22 | Before restructuring<br>Dec 31, 21 | % yoy | After restructuring<br>Sep 30, 22 | % qoq |
|---|---|---|---|---|---|
| Demand | 122,346 | 118,954 | 2.9% | 121,979 | 0.3% |
| Savings | 1,984,751 | 1,840,043 | 7.9% | 1,937,301 | 2.4% |
| Fixed | 448,703 | 508,498 | -11.8% | 473,993 | -5.3% |
| Less than 6 months | 95,626 | 108,205 | -11.6% | 99,925 | -4.3% |
| 6 months and up to 1 year | 140,843 | 157,551 | -10.6% | 153,423 | -8.2% |
| Over 1 year | 212,234 | 242,742 | -12.6% | 220,644 | -3.8% |
| **Total deposits** | **2,555,800** | **2,467,495** | **3.6%** | **2,533,273** | **0.9%** |
| CASA - Current & Savings Accounts (%) | 82.4% | 79.4% | | 81.3% | |
| Gross loans to deposits ratio | 93.0% | 93.3% | | 92.7% | |
| Liquidity ratio (Bank-only) | 34.6% | 33.0% | | 31.7% | |

As of December 31, 2022, total **deposits** increased 3.6% yoy and 0.9% qoq driven by higher saving and demand deposits. As a result, CASA mix rose to 82.4% at the end of December 2022 from 79.4% at the end of last year. Given larger deposit growth than loans, the gross loans to deposits ratio fell slightly to 93.0% from 93.3% at the end of December 2021.

The Bank's daily liquidity ratio of 34.6%, as measured by total liquid assets to total deposits (at a bank-only level), was well above the 20% minimum threshold.

## Table 11. Investment Classification

| Consolidated<br>Unit: Baht million | After restructuring | Before restructuring | | After restructuring | |
|---|---|---|---|---|---|
| **Investments** | **Dec 31, 22** | **Dec 31, 21** | **% yoy** | **Sep 30, 22** | **% qoq** |
| Financial assets measured at FVTPL | 62,326 | 68,707 | -9.3% | 68,473 | -9.0% |
| Investments in debt securities measured at amortised cost | 211,019 | 7,548 | 2695.7% | 171,110 | 23.3% |
| Investments in debt securities measured at FVOCI | 178,016 | 213,450 | -16.6% | 220,262 | -19.2% |
| Investments in equity securities measured at FVOCI | 1,636 | 1,636 | 0.0% | 1,625 | 0.7% |
| **Net investment *** | **390,671** | **222,634** | **75.5%** | **392,997** | **-0.6%** |
| Investment in associates | 1,206 | 781 | 54.3% | 888 | 35.8% |
| **Total** | **454,203** | **292,123** | **55.5%** | **462,358** | **-1.8%** |

* Net investments comprise investments measured at amortized cost and measured at FVOCI

Investments at the end of December 2022 increased significantly by 55.5% yoy but fell slightly 1.8% qoq. The yoy increase was mainly from higher government bonds measured at amortized cost. The qoq decrease was mainly from lower government bonds measured at FVOCI.

### Statutory Capital

The new entity, SCBX Financial Group, is subject to the same regulations as the Bank, namely the BOT's consolidated supervision guidelines, and must maintain the same minimum capital requirements including additional buffers. The required additional buffers consist of a 2.5% conservation buffer to be held in CET1 and a 1% Domestic Systemically Important Banks (D-SIBs) buffer. Details of minimum regulatory capital requirements for both the Bank and SCBX Financial Group as prescribed by the BOT are shown in table 12.

## Table 12: Minimum regulatory capital ratios including capital buffers

| | |
|---|---|
| **Minimum regulatory capital requirements** | |
| Common Equity Tier 1 (CET1 ratio) | 4.50% |
| Tier 1 Capital | 6.00% |
| Total Capital | 8.50% |
| **Capital buffer** | |
| Capital Conservation Buffer | 2.50% |
| D-SIBs Buffer | 1.00% |
| **Total minimum regulatory capital requirements** | |
| Common Equity Tier 1 (CET1 ratio) | 8.00% |
| Tier 1 Capital | 9.50% |
| Total Capital | 12.00% |

SCBX Financial Group follows the same prudent approach to capital management as the Bank by maintaining capital well above the minimum regulatory requirements and ensuring adequate loan loss

provisions. This additional cushion allows SCBX Financial Group to better handle unforeseen events and absorb any emerging risks that may arise from new businesses in the future.

Capital positions of SCBX Financial Group and the Bank at the end of December 2022 under the Basel III framework are shown in the below table.

### Table 13. Total Regulatory Capital

| | SCBX (Consolidated) | | | SCB Bank (Bank-only) | | |
|---|---|---|---|---|---|---|
| Unit: Baht million, % | Dec 31, 22 | Sep 30, 22 | Dec 31, 21 | Dec 31, 22 | Sep 30, 22 | Dec 31, 21 |
| **Statutory Capital** | | | | | | |
| Common Equity Tier 1 | 408,286 | 405,429 | 399,566 | 344,932 | 340,631 | 397,032 |
| Tier 1 capital | 409,359 | 406,446 | 399,566 | 344,932 | 340,631 | 397,032 |
| Tier 2 capital | 25,548 | 25,909 | 24,669 | 24,250 | 24,998 | 24,612 |
| **Total capital** | **434,907** | **432,355** | **424,235** | **369,182** | **365,629** | **421,644** |
| Risk-weighted assets | 2,306,339 | 2,333,062 | 2,265,443 | 2,220,000 | 2,279,401 | 2,238,352 |
| **Capital Adequacy Ratio** | **18.9%** | **18.5%** | **18.7%** | **16.6%** | **16.0%** | **18.8%** |
| Common Equity Tier 1 | 17.7% | 17.4% | 17.6% | 15.5% | 14.9% | 17.7% |
| Tier 1 capital | 17.7% | 17.4% | 17.6% | 15.5% | 14.9% | 17.7% |
| Tier 2 capital | 1.1% | 1.1% | 1.1% | 1.1% | 1.1% | 1.1% |

Consolidated common equity Tier 1/Tier 1 capital of SCBX Financial Group increased yoy at the end of December 2022 mainly from appropriation of net profit which was partly offset by a dividend payment of Baht 5.1 billion (Baht 1.50 per share). A strong capital position not only provides an additional cushion against current economic uncertainty but also enables SCBX to assist customers during the post-pandemic recovery. On the Bank-only basis, common equity Tier 1/Tier 1 capital decreased significantly yoy to 15.5% due mainly to a one-off dividend payment of Baht 61 billion from retained earnings of the Bank to shareholders. The dividend payment from SCB Bank to SCBX for funding purposes is considered an intra-group transaction and thus will only affect the capital position of the Bank but not of SCBX.

The Group believes that its strong capital position, which is currently well above the minimum regulatory requirement, in combination with high loan loss provisions will enable the Group and the Bank to withstand unforeseen adverse shocks and pursue any growth opportunities within the BOT's regulatory boundary.

#### Asset Quality

At the end of December 2022, **gross NPLs** (on a consolidated basis) decreased 12.6% yoy but increased 3.5% qoq to Baht 95.3 billion. **Gross NPL ratio** decreased yoy to 3.34% and was relatively flat qoq. The yoy improvement was primarily driven by effective NPL management through NPL sales. The qoq increase in NPLs was mainly from NPLs at the portfolio companies.

At the end of December 2022, the Company's **coverage ratio** fell to 159.7%, down 4.1% qoq but up 20.3% from the end of 2021 largely from a significant decline in NPLs. However, the Company's total loan loss reserve as a percentage of total loans (LLR %) remained strong at 6.3%.

## Table 14. Asset quality

| Unit: Baht million, % | After restructuring Dec 31, 22 | After restructuring Sep 30, 22 | Before restructuring Dec 31, 21 |
|---|---|---|---|
| **SCBX (Consolidated)** | | | |
| Non-Performing Loans (Gross NPLs) | 95,329 | 92,131 | 109,114 |
| Gross NPL ratio | 3.34% | 3.34% | 3.79% |
| Total allowance* | 152,265 | 150,867 | 152,111 |
| Total allowance to NPLs (Coverage ratio) | 159.7% | 163.8% | 139.4% |
| Credit cost (Quarterly, bps) | 120 | 132 | 209 |
| **SCB Bank (Bank-only)** | | | |
| Non-Performing Loans (Gross NPLs) | 90,550 | 91,379 | 108,051 |
| Gross NPL ratio | 3.25% | 3.32% | 3.77% |

* Total allowance includes loans, interbank and loan commitments, and financial guarantee contracts.

### Loan Classification and Allowance for Expected Credit Losses

Under TFRS 9, loans are classified into 3 stages based on changes in credit quality since initial recognition. Loans and allowance for expected credit losses at the end of December 2022, September 2022 and December 2021 were classified as follows:

## Table 15. Loans and allowances for expected credit losses by stages

| Consolidated<br>Unit: Baht million | After restructuring Dec 31, 22 | | After restructuring Sep 30, 22 | | Before restructuring Dec 31, 21 | |
|---|---|---|---|---|---|---|
| | Loans and interbank | ECL* | Loans and interbank | ECL* | Loans and interbank | ECL* |
| Stage 1 (Performing) | 2,584,089 | 45,792 | 2,516,763 | 60,171 | 2,576,432 | 46,600 |
| Stage 2 (Underperforming) | 178,753 | 48,646 | 147,171 | 39,309 | 189,930 | 42,920 |
| Stage 3 (Non-performing) | 95,329 | 57,827 | 92,131 | 51,387 | 109,114 | 62,592 |
| **Total** | **2,858,171** | **152,265** | **2,756,065** | **150,867** | **2,875,476** | **152,111** |

* Including ECL for loans, interbank and loan commitments, and financial guarantee contracts.

### Sources and Uses of Funds

As of December 31, 2022, deposits accounted for 74.0% of SCB's funding base. Other major sources of funds were: 13.5% from shareholders' equity, 5.2% from interbank borrowings, and 2.1% from debt issuance. Uses of funds for this same period were: 68.8% for loans, 15.1% for interbank and money market lending, 13.1% for investments in securities, and 1.4% held in cash.

## Segment Performance

### 2022 Operational Performance after business restructuring

| Unit: Baht billion | Total operating income | % portion | Net profit (loss) | % portion | Total loans |
|---|---|---|---|---|---|
| Gen 1 - Banking Services* | 141.8 | 83% | 51.9** | 101% | 2,307 |
| Gen 2 - Consumer & Digital Financial Services* | 21.8 | 13% | 0.1 | 0% | 133 |
| Gen 3 - Platforms & Digital Assets* | 8.2 | 5% | (0.7) | -1% | 4 |
| Inter Transaction and others | (17.4) | | (13.8) | | (66) |
| **Total** | **154.4** | | **37.5** | | **2,377** |

* Before deducting intercompany transactions

**Including gain from sale of subsidiaries and transfer business, net of income tax

### Gen 1 - Banking Services

The Bank continued with its growth with quality strategy. Even though its loan growth was below the industry average, the Bank was able to optimize returns within its risk tolerance. Loan growth of 5.6% yoy was driven by housing loan and unsecured loans. Deposits increased in line with the loan growth which were mainly contributed from CASA.

At the end of December 2022, loans under the CDR program (blue scheme only) stood at Baht 278 billion or 12% of total loans and the payments profile of involved customers has been well within expectations.

Non-performing loans improved yoy to 3.3% at the end of December 2022 from 3.8% at the end of 2021 as a result of NPL sales. At the end of December 2022, the Bank's coverage ratio remained high at 151.2%

**2022 Performance**

- **Net interest income** in 2022 increased to Baht 91.4 billion, driven by a combination of selective loan growth and NIM expansion from lower volume of debt restructuring, the upward interest rate trend and pricing discipline.
- **Non-interest income** (excluding gain from sale of subsidiaries and transfer business) was under pressure from lower wealth management fees and lower investment gains from weak market sentiment. However, bancassurance and wealth businesses were still the key driver for non-NII of Gen 1.
- **Total operating income** stood at Baht 141.8 billion mainly driven by a robust NII**,** although non-NII was weak as mentioned above.
- **OPEX** was under control. The Bank's cost discipline will continue to be a key focus, resulting in a cost to income ratio (excluding one-time gain) of 41% in 2022.

**Gen 2 – Consumer & Digital Financial Services**

Gen 2 companies aim to penetrate 'high-risk, high-return' consumer lending and digital financial services markets which we believe will contribute to the Group's growth and ROE. We will expand into the areas that offer promising growth potential with reasonable risk-adjusted returns. Gen 2 companies include MONIX and SCB Abacus which have been active players in the digital lending area. CardX is the Bank's spin-off that operates credit card and unsecured lending business. CardX has already completed business transfer in the early December 2022. AutoX operates a car title loan business with the brand "Ngern Chaiyo".

**2022 Performance**

- Total operating income was Baht 21.8 billion, of which NII accounted for over 80% due to digital and consumer loan growth.
- Given the early stage of these businesses, total operating cost were relatively high.
- With the nature of the unsecured lending business with high-risk high-return, Gen 2 provision was at a high level compared to the banking business. Gen 2 registered a net profit of Baht 0.1 billion in 2022.
- SCBX expects an improvement in net profit contribution from Gen 2 next year following new product launches, fast business scale up and efficiency improvement by using technology capability.
- Total loans for Gen 2 increased significantly mainly from digital lending as well as AutoX loan growth of 151% qoq after the launch in 3Q22.

**Gen 3 – Platforms & Digital Assets**

Gen 3 companies will penetrate game-changing businesses with exponential growth profiles. This includes platforms and digital assets as well as investments in high-growth, tech-focused businesses. Below are the key highlights of companies under Gen 3:

- **Robinhood (Purple Ventures)** aims to be a super app for food delivery, online travel (OTA), online mart and express services. Covering Bangkok, Pattaya, and Chiangmai, the services now have over 3.5 million registered users, close to 300,000 merchants, and 30,000 riders. Robinhood also introduced a new service on the platform called ride-hailing.
- **SCB 10X** is the venture investment arm of SCBX group with a "moonshot mission" to create long-term value through exponential technologies, innovations, investments in venture capital companies and venture building services.
- **InnovestX** is one of the keys to make SCBX Group the most admired regional financial technology group, as the Group is expanding the financial and investment business to the ASEAN market and accelerating growth through technology and innovations. InnovestX has forged new strategies to drive the future of finance, investment, and digital assets. The company

is introducing "InnovestX", a Super App that traverses the investment universe, creating a new ecosystem to accommodate transforming contexts. InnovestX is determined to make it easier for everyone to enter the broader and all comprehensive investment and financial markets.

**2022 Performance**

- Amid the weak market sentiment, total operating income was Baht 8.2 billion, mostly contributed from fee and investment income. However, total operating income declined yoy from lower investment gain compared to a year earlier.
- With the weak revenue stream coupled with high OPEX at this early stage of the business operations/restructuring, cost to income ratio was at a relatively high level.
- In 2022, Gen 3 reported a net loss of 0.7 billion as a result of high OPEX.

## Credit Ratings

| Credit Ratings of SCB X Public Company Limited | December 31, 2022 |
|---|---|
| **Moody's Investors Service** | |
| Issuer Rating (Local and Foreign Currency) | Baa2 |
| Outlook | Stable |
| **Fitch Ratings** | |
| Long Term Issuer Default Rating | BBB |
| Short Term Issuer Default Rating | F3 |
| Outlook | Stable |
| Viability Rating | bbb |
| Government Support Rating | bbb- |

## Additional Financial Information

| Consolidated<br>Unit: Baht million, % | After restructuring | Before restructuring | | After restructuring | |
|---|---|---|---|---|---|
| | **Dec 31, 22** | **Dec 31, 21** | **% yoy** | **Sep 30, 22** | **% qoq** |
| **Total loans** | **2,377,214** | **2,301,834** | 3.3% | **2,347,483** | 1.3% |
| *Add* Accrued interest receivables and undue interest receivables | 19,523 | 15,031 | 29.9% | 17,720 | 10.2% |
| **Total loans and accrued interest receivables and undue interest receivables** | **2,396,737** | **2,316,865** | 3.4% | **2,365,203** | 1.3% |
| *Less* Unamortised modification losses | 3,336 | 5,756 | -42.1% | 3,731 | -10.6% |
| *Less* Allowance for expected credit loss | 145,554 | 145,653 | -0.1% | 145,183 | 0.3% |
| **Total loans and accrued interest receivables, net** | **2,247,848** | **2,165,456** | 3.8% | **2,216,289** | 1.4% |
| **Debt issued and borrowings** | **71,996** | **74,922** | **-3.9%** | **76,298** | **-5.6%** |
| Debentures | 51,824 | 63,442 | -18.3% | 56,829 | -8.8% |
| Structured notes | 21,628 | 8,213 | 163.3% | 21,261 | 1.7% |
| Others | 50 | 117 | -57.3% | 62 | -19.4% |
| Hedge accounting adjustment | (1,506) | 3,150 | NM | (1,854) | NM |
| **Share Information** | | | | | |
| EPS (Baht) | 2.12 | 2.32 | -8.4% | 3.06 | -30.7% |
| BVPS (Baht) | 136.98 | 129.74 | 5.6% | 135.76 | 0.9% |
| Closing price (Baht) | 107.00 | 127.00 | -15.7% | 104.00 | 2.9% |
| Shares outstanding (Million shares) | 3,367 | 3,399 | -0.9% | 3,367 | 0.0% |
| Market capitalization (Baht billion) | 360.3 | 431.7 | -16.5% | 350.2 | 2.9% |

| | After restructuring | | Before restructuring | After restructuring | Before restructuring |
|---|---|---|---|---|---|
| | **4Q22** | **3Q22** | **4Q21** | **2022** | **2021** |
| **Yield on loans by segment** | | | | | |
| **Yield on loans** | **5.34%** | **5.11%** | **4.85%** | **5.04%** | **4.70%** |
| Corporate | 3.60% | 3.30% | 2.98% | 3.31% | 3.00% |
| SME | 6.44% | 6.22% | 5.80% | 6.20% | 5.68% |
| Retail | 6.44% | 6.29% | 6.11% | 6.15% | 5.90% |
| Housing loans | 4.59% | 4.59% | 4.73% | 4.56% | 4.63% |
| Auto loans | 5.63% | 5.66% | 5.46% | 5.54% | 5.34% |
| CardX [1/] | 15.37% | 15.27% | 13.25% | 14.15% | - |
| AutoX | 20.54% | - | - | - | - |
| **Auto loans portfolio** | | | | | |
| New car | 59.0% | 58.6% | 58.2% | 59.0% | 58.2% |
| Used car | 19.6% | 20.7% | 23.3% | 19.6% | 23.3% |
| My car, My cash | 21.4% | 20.7% | 18.5% | 21.4% | 18.5% |
| **Gross NPL ratio by segment/product** | | | | | |
| Corporate | 3.0% | 2.8% | 4.4% | 3.0% | 4.4% |
| SME | 10.7% | 10.5% | 11.6% | 10.7% | 11.6% |
| Retail | 2.4% | 2.3% | 2.4% | 2.4% | 2.4% |
| Housing loans | 2.3% | 2.5% | 2.8% | 2.3% | 2.8% |
| Auto loans | 2.2% | 1.9% | 1.5% | 2.2% | 1.5% |
| CardX [1/] | 3.1% | 2.1% | 1.4% | 3.1% | 1.4% |
| AutoX | 0.1% | - | - | 0.1% | - |
| **NPL reduction methodology** | | | | | |
| NPL sales (Baht billion) | 2.8 | 13.4 | - | 19.2 | 6.9 |
| Write off (Baht billion) | 4.3 | 5.1 | 7.5 | 21.5 | 19.9 |

NM denotes "not meaningful"

[1/] Data prior period were restated to furnish comparative information.

## Appendix

**Recent development of SCBX's Group in 4Q22**

- **6 October 2022:** SCB to offer transformation loans in accordance with the Bank of Thailand's Emergency Decree on Rehabilitation Loans in order to fund investments that increase the potential of businesses in light of the global megatrends of a digital and low-carbon society for sustainability. Old and new customers will have easy access to the loan's 2%-per-year introductory interest rate and 10-year repayment term, removing a major roadblock for business owners seeking long-term growth.
- **11 October 2022:** In an effort to become a "Tokenization Success Partner," Token X Co., Ltd. (Token X) contributed to the success of corporate customers as a technology provider by developing "ColleX" NFT solutions for the business sector. Using blockchain technology, ColleX functions similarly to a sticker book, allowing users to keep track of the events and activities they have participated in by collecting stickers.
- **26 October 2022:** SCB TechX has released a unified platform called "PointX" to revolutionize the way reward points are earned and redeemed. With the introduction of its online "X Stores," the company hopes to attract customers who have credit card reward points that they have not yet redeemed by offering the best value products across more than ten categories at discounted prices from well-known brands.
- **8 November 2022**: MONIX partnered with Singapore-based AI firm ADVANCE.AI to power their electronic KYC (Know Your Customer) user journey. Steps included a quick selfie using the smartphone's camera along with a scan of the Thai national ID card to authenticate the user's identity. All this can be completed in under 60 seconds.
- **1 December 2022:** SCB 10X, the venture investment arm of SCBX group; building and incubating startups in the Web3 and blockchain industry, announced today the launch of SCB 10X DISTRICTX, a physical space in the middle of Bangkok CBD to build & foster world-class communities in Blockchain and Web3.
- **16 December 2022:** "AutoX" formed a business collaboration with "Workpoint Channel 23" and "Channel 8" to promote the "Ngern Chaiyo" brand and expand its business, with the goal of facilitating Thai people's access to legitimate financial services.
- **20 December 2022:** PTT Global Chemical PCL (GC) has concluded a Baht 15-billion Sustainability-Linked Loan (SLL) deal with Siam Commercial Bank (SCB). The financial facility will be utilized for liquidity management, supporting future business goals, and bolstering the development of sustainable business practices to maintain the balance of environment, society, and economy (ESG) between the two corporate partners.

### SCB's interest rates and BOT's policy rate

| SCB Interest Rates | Nov 8, 19 | Feb 7, 20 | Mar 24, 20 | Apr 10, 20 | May 25, 20 | Feb 9, 21 | Mar 12, 21 | Oct 4, 22 | Dec 7, 22 |
|---|---|---|---|---|---|---|---|---|---|
| **Lending rate (%)** | | | | | | | | | |
| MLR | 6.025 | 5.775 | 5.775 | 5.375 | 5.25 | 5.25 | 5.25 | 5.50 | 5.75 |
| MOR | 6.745 | 6.745 | 6.495 | 6.095 | 5.845 | 5.845 | 5.845 | 6.095 | 6.345 |
| MRR | 6.87 | 6.87 | 6.745 | 6.345 | 5.995 | 5.995 | 5.995 | 5.995 | 6.12 |
| **Deposit rate* (%)** | | | | | | | | | |
| Savings rate | 0.50 | 0.50 | 0.50 | 0.50 | 0.25 | 0.25 | 0.25 | 0.25 | 0.25 |
| 3-month deposits | 0.65-0.90 | 0.60 | 0.50 | 0.50 | 0.375 | 0.37 | 0.32 | 0.47 | 0.62 |
| 6-month deposits | 0.90-1.15 | 0.80 | 0.60 | 0.60 | 0.50 | 0.45 | 0.40 | 0.55 | 0.70 |
| 12-month deposits | 1.15-1.40 | 0.90 | 0.65 | 0.65 | 0.50 | 0.45 | 0.40 | 0.70 | 1.00 |

* Excluding special campaigns, which generally offer significantly higher rates but have different terms and conditions for 3, 6, and 12 month term deposits.

| | Dec 19, 18 | Aug 7, 19 | Nov 6, 19 | Feb 5, 20 | Mar 23, 20 | May 20, 20 | Aug 10, 22 | Sep 28, 22 | Nov 30, 22 |
|---|---|---|---|---|---|---|---|---|---|
| **Policy rate (%)** | 1.75 | 1.50 | 1.25 | 1.00 | 0.75 | 0.50 | 0.75 | 1.00 | 1.25 |